

When the markets oscillate in a range, we as option sellers earn time decay on the short straddle. And as the market is consolidating between 70-80% of the time, the short straddle benefits from the non-directional grinding markets.

BANKNIFTY-27JUL23 45001.00 ▼ -410.20 (-0.90%) (07-Jul-2023 EOD)

Fair Price 44921.20 ▼ -404.35 (-0.89%)

Source: www.icharts.in

Once entered in a trade, we will square off our trade as soon as the premium value touches the VWAP line. We can only take a maximum number of 3 trades per day. We will not take a trade after 3 p.m. as not much time is left for the market to move anywhere.

Combined value of a
At-The-Money straddle
of Bank Nifty